



International Trade: Japan and Spain

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The background features a light orange field with a dashed orange grid. Brown contour lines are scattered across the left and center. On the right, a light blue area is separated from the orange by a curved boundary. Decorative elements include three blue 'x' marks in the top right, four teal triangles in the bottom left, and three pink circles in the bottom center.

International Trade & Economics

Theoretical Framework

Ricardian Model

Comparative Advantage

Countries export goods with higher productivity.

- **Spain:** Food, live animals, beverages, tobacco.
- **Japan:** Machinery, electrical, road vehicles.

Heckscher-Ohlin Model

Factor Endowments

Trade determined by relative factor abundance.

- **Spain:** Land & semi-skilled labor abundance.
- **Japan:** Capital & skilled labor abundance.

Policies & Agreements

Tariffs & agreements shape actual trade flows.

EU-Japan EPA (2019):

Eliminated most tariffs, boosting Spanish exports in previously protected sectors like machinery and processed food.

Grubel-Lloyd Index

Intra-Industry Trade

Measures two-way trade within the same sector.

While general trade (food vs. machinery) conforms to the H-O model, intra-industry trade stemming from product differentiation (New Trade Theory) is observed in sub-sectors such as automotive.

Total Trade Volume and Balance (2013–2024)

Aggregate Trends

Trade between Spain and Japan grew steadily, accelerating after 2019.

Imports: €4.101B (2013) → €7.49B (2024)

Exports: €2.316B (2013) → €2.87B (2024)

The trade surplus widened after 2019, driven by robust export growth.



Trade Balance: Consistently negative (Imports > Exports)

Key Observations

- **Pre-EPA (2013–2018):** Moderate growth period with exports stable at €2.8B.
- **Post-EPA (2019–2024):** Significant upward shift, reaching €3B by 2024.
- **COVID-19 (2020):** Resilience shown as exports held steady while imports dipped.
- **Competitive Edge:** Sustained surplus in food, beverages, and industrial goods.

Sectoral Analysis & Comparative Advantage

To identify Spain's comparative advantage, we examine the largest export and import categories.

Heckscher-Ohlin Evidence

Spain exports food, beverages, and oils (land/labor-intensive).

Japan exports machinery, vehicles, and electronics (capital/skill-intensive).

Pattern strongly supports the H-O model.

Revealed Comparative Advantage (RCA)

Sectors with an export share consistently above 10%:

- Machinery and transport equipment
- Food and live animals
- Chemicals

This aligns with Ricardian predictions: Spain has productivity advantages in agri-food and certain industrial goods, while Japan leads in high-tech manufacturing.

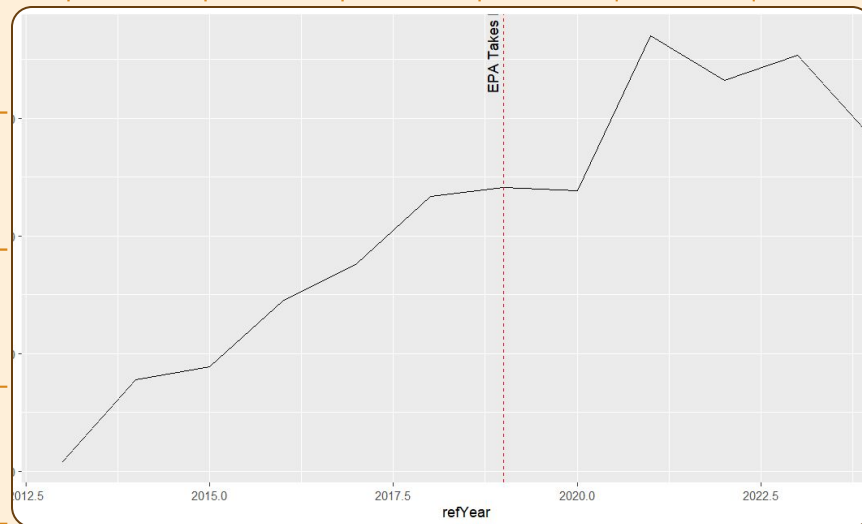
Impact of Trade Agreements and Shocks

The EU-Japan Economic Partnership Agreement (EPA)

Key Implementation

The EPA entered into force on **1 February 2019**. It eliminated most tariffs between the EU and Japan, including:

- Spanish machinery, chemicals, and food
- Japanese cars and electronics



The agreement marks a significant shift in bilateral trade, removing barriers for high-priority sectors such as Spanish agri-food exports and Japanese industrial manufacturing.

Statistical Test: Export Growth (Pre vs. Post 2019)

An independent two-sample t-test was conducted to compare average annual exports between two distinct periods.

Comparison Periods

Pre-EPA (2013–2018): Mean Export = 2543.2 million USD

Post-EPA (2019–2024): Mean Export = 2906.9 million USD

t-test Statistics

t-statistic: -4.5324

p-value: 0.001405 (Significance < 0.05)

Welch Two Sample t-test

t = -4.5324, df = 9.00402, p-value = 0.001405

alternative hypothesis: true difference in means is not equal to 0

95 percent confidence interval: -545.0309 -182.2748

sample estimates: mean of x (2543.2) mean of y (2906.9)

Conclusion: The increase in exports after 2019 is **statistically significant**, supporting the hypothesis that the EPA boosted Spanish exports to Japan.

Market Resilience & External Shocks

COVID-19 Shock (2020)

The pandemic caused a temporary disruption, but resilience was high:

- **Exports (2020):** Remained stable with only a minor dip.
- **Imports:** Fell slightly but recovered quickly in 2021.
- **Outcome:** Trend resumed after 2020; EPA effects outweighed the short-term shock.

Other Potential Shocks

Supply chain tensions and the 2022 energy crisis showed minimal impact on long-term growth.

*Conclusion: Data shows continued export growth through 2024, indicating strong **resilience** in Spain–Japan trade relations despite global economic shocks.*

Joint Conclusions

WTO

Provides dispute settlement mechanisms; both countries are committed to WTO rules.

European Union (EU)

Negotiates trade agreements collectively (e.g., EPA); Spain acts through the EU trade policy.

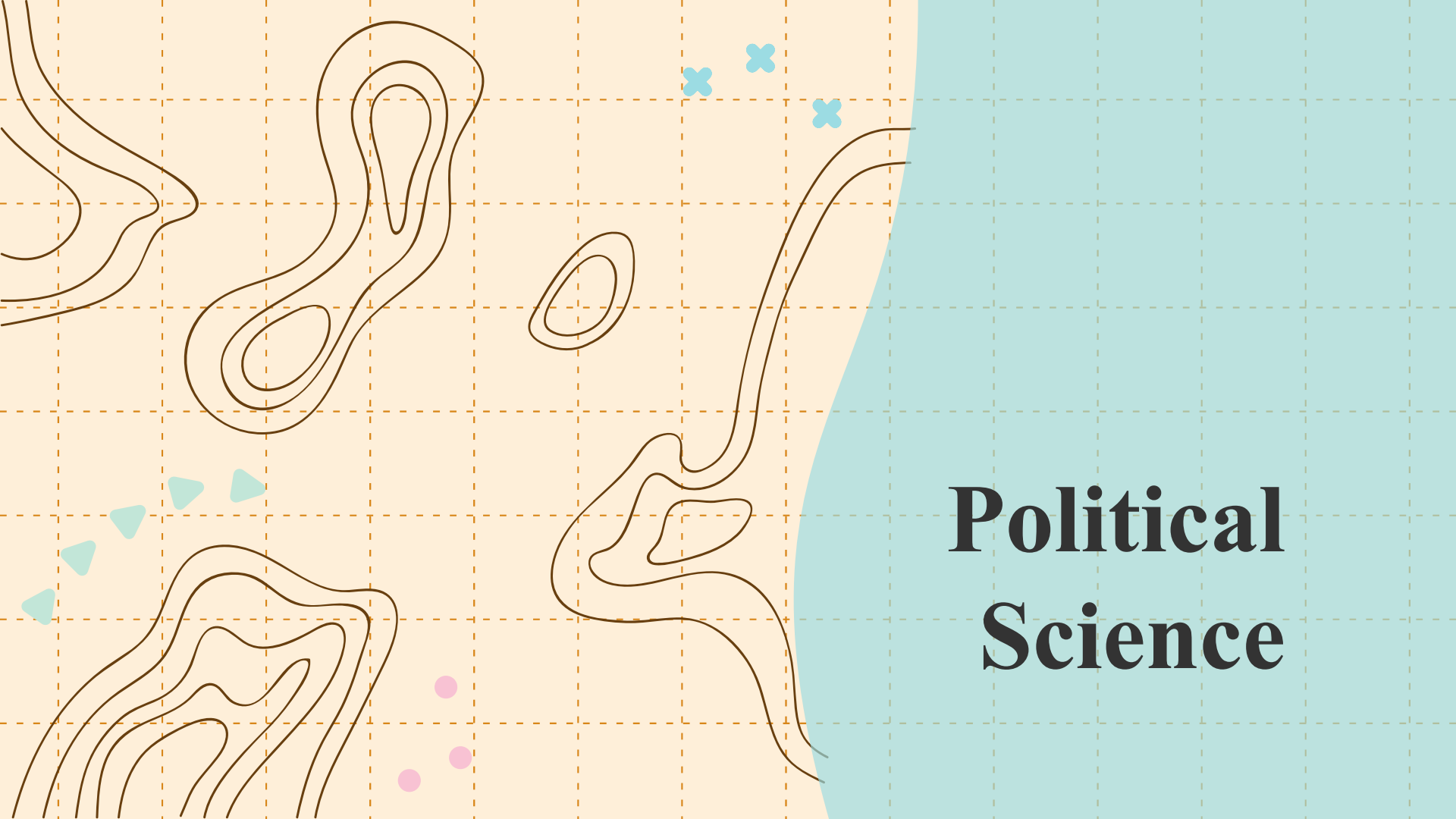
OECD

Facilitates policy coordination including tax, environment, and digital trade.

G20

A forum for macroeconomic and trade discussions where both countries participate.

*These organisations reduce political friction by offering neutral platforms for dialogue and legal recourse.
For example, the WTO dispute settlement body would be the primary mediator for agricultural quotas disputes.*

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Political Science

Political Ties

NATO Ties–

- **Japan**– A global partner, not an official member, but seen as a **standing partnership**.
 - **Defense Bilateral Meetings:** The Second Japan-NATO Cyber Dialogue
January 27, 2026
- **Spain:** As a **NATO member**, they hold a strong relationship with foreign affairs.
 - Member since 1982.
 - Spain offers **peacekeeping missions**.

Values– By comparing both NATO pages from Japan and Spain, both countries have a references to a **commitment of following democracy** and vowed to include themselves in **international cooperation**.

Political Ties

2018 Joint Statement– In **October 2018**, Mr. Shinzo Abe, Prime Minister of Japan, met with Mr. Pedro Sánchez Pérez-Castejón, President of the Government of the Kingdom of Spain.

- Strengthened the countries relationship by going from a **bilateral agreement** to a **strategic partnership**.
 - Both leaders **improved dialogue** between each other.
- Strengthened economic trade by signing the **EU-Japan Economic Partnership Agreement** (EPA).
- Agreed to have diplomatic relations in regards to **cybersecurity** and funding for **science and technologies**.
 - Joint Spain-Japan Innovation Programme (JSIP)
 - Future collaborations between universities and think tanks.

Japan helps **Spain** by connecting through **Asia**.
Spain helps **Japan** by connecting through **Europe**.

Political Partnerships

- **Tourism** - Growing tourism exchange strengthens **economic activity**.
- **Trade** - Both countries maintain strong **export-import relationship**.
- **Embassies** - The Embassy of Japan in Spain is Japan's primary diplomatic mission located in **Madrid**.

The Embassy of Spain in Japan is the official diplomatic mission representing the Kingdom of Spain in **Tokyo**.



Service Trades

- **Japan's Economic Partnership Agreement (EPA)** with the **EU** has significantly **enhanced** their **trade relationship**.
 - Increased **political trust** enabled the EPA to **reduce tariffs** and uncertainty, thus **increasing international trade**.
 - **Japan** has over **400 companies** established in **Spain** contributing over **€12 billion** (~\$14 billion) to the economy.
- **551,000 Japanese tourists visited Spain in 2018**, further supporting the Spanish economy.

International Relations Theories

- **Realism**– Both Japan and Spain maintain **alliances based on strategic benefit**, rather than just ideology.
 - Cooperation exists as long as it serves economic and geopolitical interests.
 - **Spain** is a member of **NATO**. Although **Japan** isn't it still holds **close ties** to many **Western powers**.
 - **Spain** aligns itself with **EU/NATO interests**, **Japan** balances **regional threats** (China, North Korea).
- **Liberalism**– Strong examples of **cooperation** through the **UN, WTO**, and **EU-Japan trade agreements**.
 - Both Spain and Japan are **democracies**, aligning with the **Democratic Peace Theory**.
 - **Economic interdependence** is seen through the **EU-Japan Economic Partnership Agreement** (EPA).

International Relations Theories

- **World Systems Theory**– Both Japan and Spain are **highly industrialized** and **play major roles in global trade**.
 - Cooperation helps maintain dominance in global markets.
 - Collaborate mostly on **trade standards, technology, and supply chains**.
- **Constructivism**– Their relationship is shaped mostly by **shared democratic values, post WWII global order, and multilateral cooperation norms**.
 - Identity factors:
 - **Spain → European identity**
 - **Japan → pacifist, post war identity**
- **Feminism**– Both countries **promote gender equality policies** and **global human rights**.
 - **Japan** is often criticized for **lower gender equality rankings**.
 - **Spain** is seen as more **progressive** within **gender policy** in Europe.

State and Nationalism

Japan

- Strong national identity shaped by...
 - Post WWII reconstruction
 - Cultural homogeneity
- Civic and cultural nationalism blend
- Pacifist constitution influences global role.

Spain

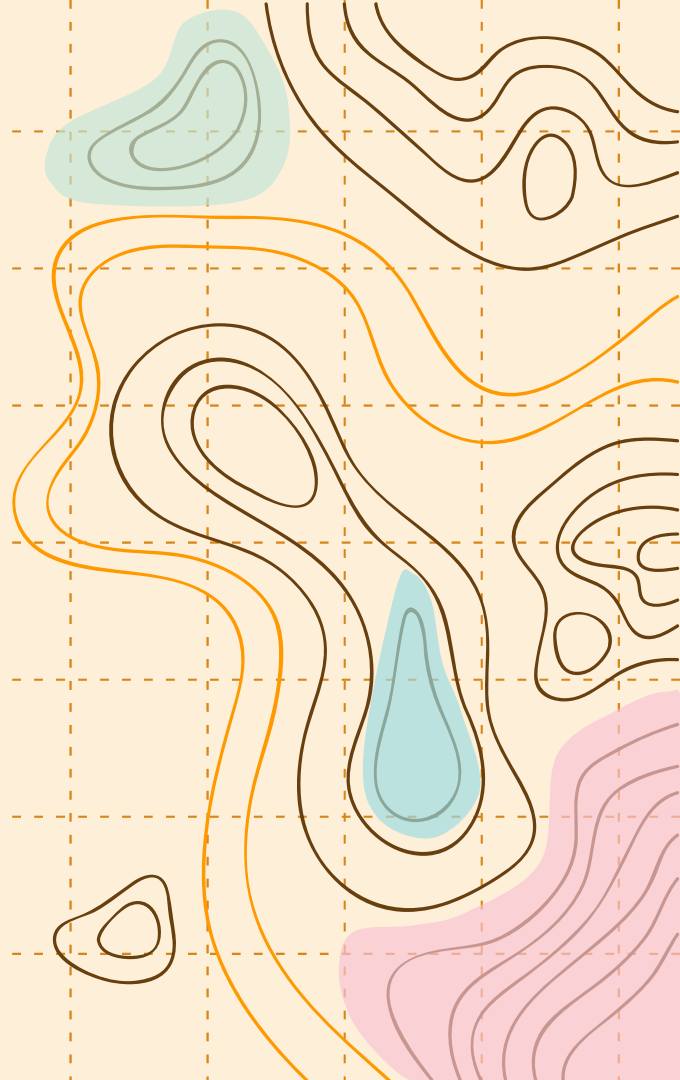
- Complex nationalism...
 - Strong central Spanish identity.
 - Regional nationalism (ex. Catalonia, Basque Country)
- Transition to democracy after dictatorship in Franco era.

Historical Alliances

- **Early relations**– Interaction limited due to **geographical barriers**.
 - Both had made use of the **Manila-Acapulco galleon trade route** (est. 1565), with Japan holding **imperialized nations** such as Korea and Taiwan, and Spain holding the Philippines.
 - Japan traded silk and lacquerware in exchange mostly for silver.
 - **Diplomatic relationship established** in 1868 through the **Treaty of Friendship, Commerce, and Navigation**.
 - They share a strong history of cooperation in politics, economy, culture, and science.
- **WWI and II**– **Japan's imperial ambitions** contrasted with **Spain's colonial trade networks**; both were part of the imperialist order.
 - Japan's expansions caused it to butt heads with the US, who was allied with the UK, who had a strong Spanish wartime alliance.
 - **Spain** stayed **relatively neutral**, but still **aligned with the Axis** in some **cultural and economic** spheres.

Historical Alliances

- **Post WWII**– Japan started to **shift** from an **expansionist to an economic diplomacy modal**, focusing on trade, investment, and cultural exchange.
 - Spain became a strong market for Japanese exports. In the 70s and 80s they saw significant **growth in bilateral trade, tourism, and cultural exchanges.**
- **Modern era**– Strong ties made through EU-Japan agreements, diplomatic cooperation, and trade partnerships.



Current Events

- **Japan-Spain meetings**
 - Japan-Spain political consultation (Nov 2025, Tokyo)
 - Spanish Minister of Industry and Tourism visited Japan (May 2025, Osaka)
 - 25th Japan Spain Forum (Oct 2025, Barcelona)
- Japan created a **permanent NATO mission** (Jan 2025) “**Mission of Japan**”
- Spain launched **Asia Pacific Strategy** (2026-2029)
 - Likely to increase trade agreements and investments.
- NATO tensions over **defense spending** and **policy differences**
- **Spain** has **condemned the US Iran War** and **Japan** has **condemned Iran’s nuclear activities**. Both want a diplomatic end.
 - Spain isn’t allowing the US on their joint military bases for operations against Iran.

Political Tensions and Cooperation

- **Are they allies?**

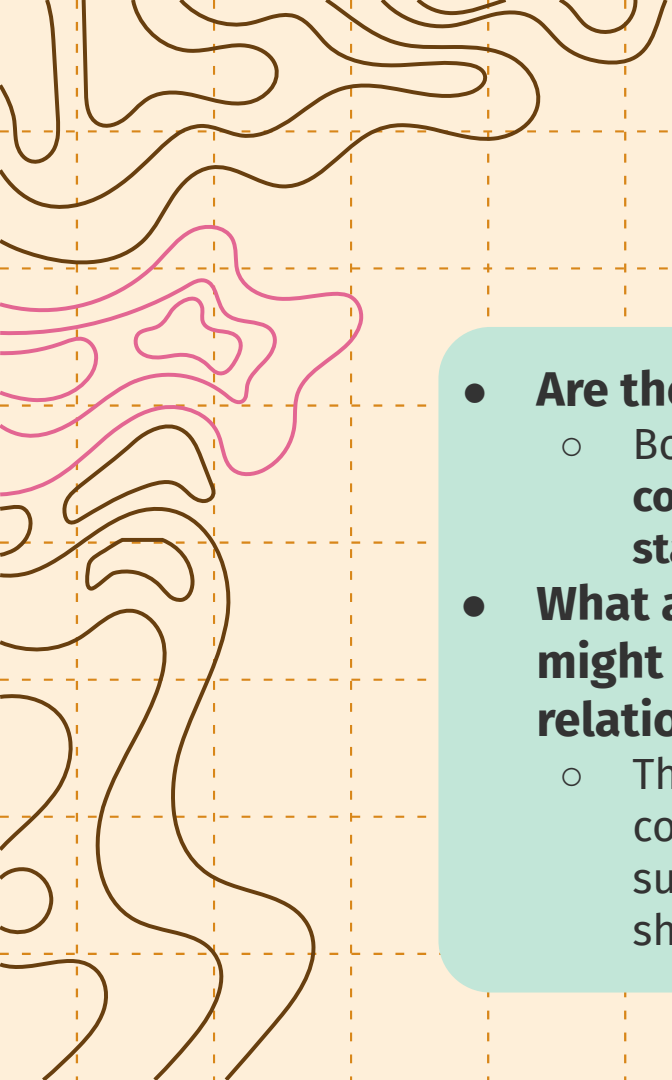
- Japan and Spain are **not military allies**.
- However, they are **partners** with strong diplomatic cooperation.
- Their relationship is supported through agreements like the **2018 Joint Declaration**.

- **Do they have common allies?**

- Yes, they both have ties with NATO:
 - Spain is a **full NATO member**
 - Japan is a NATO global partner

- **Do their allies overlap or conflict?**

- Both countries align with democratic nations and Western-led institutions.
- Equally shared political values.



Political Tensions and Cooperation

- **Are their forms of government compatible?**
 - Both are **democratic governments**, operate under **constitutional frameworks**, and emphasize **political stability**.
- **What are their shared international organizations that might inform their political and economic relationships?**
 - The 2018 **Japan-Spain Joint Declaration** highlights cooperation through major international organizations such as the **UN, WTO, G20, and EU**, reinforcing their shared commitment to a **rules-based global systems**.

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Joint Analysis

Political Influence on Trade

Political Impact

"The Strategic Partnership in 2018 and the EPA in 2019 not only lowered taxes but also reduced uncertainty..."

Solidifying Spain's share of the Japanese food market (as evidenced by our t-test results).

Institutional Role

Organizations such as the WTO and OECD have played a role in reducing transaction costs.

Heckscher-Ohlin Model Impact:

Particularly by harmonizing automotive standards.

Role of International Organizations

- Despite **not** being **part of many of the same IGOs...**
 - Japan has a **positive relationship** with **NATO** and the **EU**.
 - Spain is part of both of these organizations.
 - Strong history of **political cooperation**, making **trade policies** relatively **predictable**.
 - Facillitates **consistent economic and trade growth**.



Thank You for Listening!

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